

Consolidated Condensed Interim Statement of Financial Position

	Note	September 30, 2024 unaudited (Rupees in thousand)	June 30, 2024 audited
EQUITY AND LIABILITIES			
CAPITAL AND RESERVES			
Authorised capital			
- 950,000,000 (June 30, 2024: 950,000,000) ordinary shares of Rs 10 each		9,500,000	9,500,000
- 50,000,000 (June 30, 2024: 50,000,000) preference shares of Rs 10 each		500,000	500,000
		10,000,000	10,000,000
Issued, subscribed and paid up share capital 438,119,118 (June 30, 2024: 438,119,118) ordinary shares of Rs 10 each		4,381,191	4,381,191
Reserves		34,836,876	33,857,722
Un-appropriated profit		39,257,442	38,441,045
Attributable to owners of the parent company		78,475,509	76,679,958
Non-controlling interest		2,827,866	2,867,117
		81,303,375	79,547,075
NON-CURRENT LIABILITIES			
Long term finances - secured	5	17,320,687	17,435,308
Deferred government grant	6	139,630	170,232
Long term deposits		610,787	572,748
Deferred liabilities		1,014,798	944,549
Deferred taxation		13,687,998	13,495,346
		32,773,900	32,618,183
CURRENT LIABILITIES			
Trade and other payables		14,692,726	13,319,937
Accrued markup		891,670	1,417,035
Short term borrowing-secured		13,443,782	15,108,379
Current portion of non-current liabilities		4,493,695	5,577,710
Unclaimed dividend		34,200	34,200
Provision for taxation		541,774	209,416
		34,097,847	35,666,677
Contingencies and Commitments			
	7	148,175,122	147,831,935

The annexed notes 1 to 15 form an integral part of these consolidated condensed interim financial information.



Chief Executive

As At September 30, 2024

		September 30, 2024 unaudited	June 30, 2024 audited
	Note	(Rupees in thousand)	
ASSETS			
NON-CURRENT ASSETS			
Property, plant and equipment	8	83,574,442	83,859,386
Intangible asset		36,613	42,763
Biological assets		1,203,161	1,167,436
Investments		15,137,399	15,213,597
Long term deposits		61,568	61,568
		100,013,183	100,344,750
CURRENT ASSETS			
Stores, spares and loose tools		15,267,031	14,445,071
Stock-in-trade		8,053,302	9,528,482
Trade debts		1,361,463	956,035
Investments		19,523,020	18,409,908
Advances, deposits, prepayments and other receivables		1,828,783	991,894
Contract assets		143,864	84,893
Income tax recoverable		1,682,612	2,083,669
Cash and bank balances		301,864	987,233
		48,161,939	47,487,185
		148,175,122	147,831,935

Chief Financial Officer

Director

Consolidated Condensed Interim Statement of Profit or Loss

For the Quarter ended September 30, 2024 (Un-audited)

	July to September	
	2024	2023
	(Rupees in thousand)	
		(Re-stated)
Sales	16,710,815	17,624,124
Cost of sales	(13,568,507)	(14,235,003)
Gross profit	3,142,308	3,389,121
Administrative expenses	(343,807)	(318,580)
Selling and distribution expenses	(818,715)	(510,293)
Other expenses	(51,711)	(81,371)
Changes in fair value of biological assets	129,913	115,935
Other income	1,088,122	866,210
Finance cost	(1,718,611)	(2,255,621)
Profit before tax and levy	1,427,499	1,205,401
Levy	(150,924)	(118,858)
Profit before income tax	1,276,575	1,086,543
Taxation	(422,684)	(361,468)
Profit for the period	853,891	725,075
Attributable to:		
Equity holders of the parent	816,397	696,063
Non-controlling interest	37,494	29,012
	853,891	725,075
Earnings per share		
(basic and diluted - in Rupees)	1.86	1.59

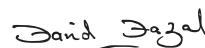
The annexed notes 1 to 15 form an integral part of these consolidated condensed interim financial information.



Chief Executive



Chief Financial Officer



Director

Consolidated Condensed Interim Statement of Comprehensive Income

For the Quarter ended September 30, 2024 (Un-audited)

	July to September 2024	2023
	(Rupees in thousand)	
Profit for the period	853,891	725,075
Other comprehensive income for the period		
Items that may be re-classified subsequently to profit or loss:	-	-
Items that will not be subsequently re-classified to profit or loss:		
Change in fair value of investments at fair value through other comprehensive income (OCI)-net of tax	1,006,908	1,906,205
	1,006,908	1,906,205
Total comprehensive income for the period	1,860,799	2,631,280
Attributable to:		
Equity holders of parent	1,795,550	2,571,397
Non-controlling interest	65,249	59,883
	1,860,799	2,631,280

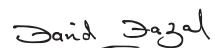
The annexed notes 1 to 15 form an integral part of these consolidated condensed interim financial information.



Chief Executive



Chief Financial Officer



Director

Consolidated Condensed Interim Cash Flow Statement

For the Quarter ended September 30, 2024 (Un-audited)

	Note	July to September 2024	2023 (Re-stated)
		(Rupees in thousand)	
Cash flows from operating activities			
Cash generated from operations	10	3,923,949	5,153,859
Finance cost paid		(2,243,976)	(2,392,754)
Retirement and other benefits paid		(75,941)	(70,080)
Net income tax refunds/(paid)		503,383	1,044,639
Levy - final taxes paid		(150,924)	(118,858)
Long term deposits - net		38,039	-
Net cash inflow from operating activities		1,994,530	3,616,806
Cash flows from investing activities			
Payments for property, plant and equipment and Intangibles		(731,429)	(404,807)
Long term loans, advances and deposits - net		-	29,989
Proceeds from disposal of property, plant and equipment		26,236	12,699
Proceeds from sale of biological assets		47,466	98,912
Investment in equity instruments		(30,000)	3,002
Interest received		-	1,615
Dividend received		1,006,163	792,388
Net cash outflow from investing activities		318,436	533,798
Cash flows from financing activities			
Repayment of long term finances		(1,971,238)	(1,484,297)
Buy back of shares from non-controlling interest		(104,500)	-
Dividend paid		-	(228)
Proceeds from long term finances		742,000	9,160,185
Net cash inflow/(outflow) from financing activities		(1,333,738)	7,675,660
Net decrease in cash and cash equivalents		979,228	11,826,264
Cash and cash equivalents at the beginning of the year		(14,121,146)	(26,725,163)
Cash and cash equivalents at the end of period	11	(13,141,918)	(14,898,899)

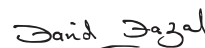
The annexed notes 1 to 15 form an integral part of these consolidated condensed interim financial information.



Chief Executive



Chief Financial Officer



Director

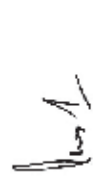
Consolidated Condensed Interim Statement of Changes In Equity

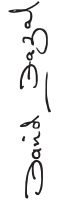
For the Quarter ended September 30, 2024 (Un-audited)

	(Rupees in thousands)					
	Capital reserve			Revenue reserve		
	Share capital	Share premium	FVOCI reserve	Capital redemption reserve fund	General reserve	Un-appropriated profits
Balance as at June 30, 2023 - Audited	4,381,191	4,557,163	12,472,308	353,510	5,110,851	37,785,778
						64,660,801
						2,482,081
						67,142,882
Total comprehensive income for the period						
- Profit for the period	-	-	-	-	-	696,063
- Other comprehensive income for the period						
- Changes in fair value of investments at fair value through OCI - net of tax	-	-	1,875,334	-	-	-
	-	-	1,875,334	-	-	696,063
						2,571,397
						59,883
						2,631,280
Balance as at September 30, 2023 - Unaudited	4,381,191	4,557,163	14,347,642	353,510	5,110,851	38,481,841
						67,232,198
						2,541,964
						69,774,162
Balance as at June 30, 2024 - Audited	4,381,191	4,557,163	23,836,198	353,510	5,110,851	38,441,045
						76,679,958
Total comprehensive income for the period						
- Profit for the period	-	-	-	-	-	816,397
- Other comprehensive income for the period						
- Changes in fair value of investments at fair value through OCI - net of tax	-	-	979,153	-	-	-
	-	-	979,153	-	-	816,397
						1,795,550
						65,249
						1,860,799
Total contributions by and distributions to owners of the Company recognised directly in equity						(104,500)
						(104,500)
Balance as at September 30, 2024 - Unaudited	4,381,191	4,557,163	24,815,351	353,510	5,110,851	39,257,442
						78,475,508
						2,827,866
						81,303,374

The annexed notes 1 to 15 form an integral part of these consolidated condensed interim financial information.


Chief Executive


Chief Financial Officer


Director

Notes to and Forming Part of The Consolidated Condensed Interim Financial Statements - Unaudited

For the Quarter ended September 30, 2024 (Un-audited)

1. Legal status and nature of business

The group comprises of:

- D. G. Khan Cement Company Limited (the parent company);
- Nishat Paper Products Company Limited;
- Nishat Dairy (Private) Limited; and

The parent company is a public limited company incorporated in Pakistan and is listed on Pakistan Stock Exchange. It is principally engaged in production and sale of Clinker, Ordinary Portland and Sulphate Resistant Cement. The registered office of the Company is situated at 53-A Lawrence Road, Lahore. The Company is principally engaged in production and sale of Clinker, Ordinary Portland and Sulphate Resistant Cement. It has four cement plants, two plants located at Khofli Sattai, District Dera Ghazi Khan ('D.G. Khan'), one at Khairpur, Tehsil Kallar Kahar, District Chakwal ('Khairpur') and one at District Hub ('Hub').

Nishat Paper Products Company Limited is a public limited company incorporated in Pakistan under the Companies Ordinance, 1984 on July 23, 2004. It is principally engaged in the manufacture and sale of paper products and packaging material.

Nishat Dairy (private) Limited was incorporated in Pakistan under the Companies Ordinance 1984 on October 28, 2011. The principally activity of the company is to carry on the business of production of raw milk.

The registered office of the Group is situated at 53-A, Lawrence Road, Lahore. The parent company's holding in its subsidiaries is as follows:

Effective percentage of holding

- Nishat Paper Products Company Limited	55%
- Nishat Dairy (Private) Limited	55.10%

2. Basis of preparation

2.1 Statement of compliance

These consolidated condensed interim financial statements have been prepared in accordance with the accounting and reporting standards as applicable in Pakistan for interim financial reporting. The accounting and reporting standards as applicable in Pakistan for interim financial reporting comprise of:

- International Accounting Standard (IAS) 34, Interim Financial Reporting, issued by the International Accounting Standards Board (IASB) as notified under the Companies Act, 2017; and

- Provisions of and directives issued under the Companies Act, 2017.

Where the provisions of and directives issued under the Companies Act, 2017 differ with the requirements of IAS 34, the provisions of and directives issued under the Companies Act, 2017 have been followed.

- 2.2** These consolidated condensed interim financial statements are un-audited and are being submitted to the members as required by section 237 of the Companies Act, 2017 (the 'Act').

These consolidated condensed interim financial statements do not include all of the information required for annual financial statements and should be read in conjunction with the annual financial statements as at and for the year ended June 30, 2024. Selected explanatory notes are included to explain events and transactions that are significant to and understanding of the changes in the Group's financial position and performance since the last annual financial statements.

3. Accounting policies

- 3.1** The accounting policies and the methods of computation adopted in the preparation of these consolidated condensed interim financial statements are the same as those applied in the preparation of preceding annual published financial statements of the Group for the year ended June 30, 2024 except for adoption of new and amended standards as set out in note 3.2 and 3.3.

3.2 Standards, amendments and interpretations to International Financial Reporting Standards (IFRS) that are effective in the current period

Certain standards, amendments and interpretations to International Financial Reporting Standards (IFRS) are effective for accounting periods beginning on July 1, 2024, but are considered not to be relevant or to have any significant effect on the Group's operations (although they may affect the accounting for future transactions and events) and are, therefore, not detailed in these consolidated condensed interim financial statements except for the following:

a) IAS 12 Application Guidance on Accounting for Minimum Taxes and Final Taxes

The Group has changed its accounting policy to recognise such taxes as 'Levies' which were previously being recognised as 'Income Tax' in line with "IAS 12 Application Guidance on Accounting for Minimum Taxes and Final Taxes" issued by the Institute of Chartered Accountants of Pakistan vide its circular No. 07/2024 dated May 15, 2024. This change has been accounted for retrospectively in line with the requirements of IAS 8 "Accounting Policies, Changes in Accounting Estimates and Errors". There has been no effect on the consolidated statement of financial position, the consolidated statement of comprehensive income, the consolidated statement of changes in equity and earnings / loss per share as a result of this change.

Effect on consolidated statement of profit or loss	Had there been no change in accounting policy	Impact of change in accounting policy	After incorporating effects of change in accounting policy
	(Rupees in thousand)		
For the quarter ended September 30, 2024			
Levy	-	(150,924)	(150,924)
Profit before income tax	1,427,499	(150,924)	1,276,575
Taxation	(573,608)	150,924	(422,684)
For the quarter ended September 30, 2023			
Levy	-	(118,858)	(118,858)
Profit before income tax	1,205,401	(118,858)	1,086,543
Taxation	(480,326)	118,858	(361,468)

- 3.3** Standards, amendments and interpretations to existing standards that are not yet effective and have not been early adopted by the Group

There are certain standards, amendments to the accounting standards and interpretations that are mandatory for the Group's accounting periods beginning on or after July 01, 2025 but are considered not to be relevant or to have any significant effect on the Group's operations and are, therefore, not detailed in these consolidated condensed interim financial statements.

4. Accounting estimates

The preparation of these consolidated condensed interim financial statements requires management to make judgments, estimates and assumptions that affect the application of accounting policies and the reported amounts of assets and liabilities, income and expenses. Actual results may differ from these estimates.

In preparing these consolidated condensed interim financial statements, the significant judgments made by management in applying accounting policies and key sources of estimation were the same as those that were applied to the annual financial statements of the Group for the year ended June 30, 2024, with the exception of change in estimate that is required in determining the provision for income taxes as referred to in note 4.1.

4.1 Taxation

Income tax expense is recognized in each interim period based on best estimate of the weighted average annual income tax rate expected for the full financial year. Amounts accrued for income tax expense in one interim period may have to be adjusted in a subsequent interim period of that financial year if the estimate of the annual income tax rate changes.

September 30, 2024	June 30, 2024
Un-audited	audited
(Rupees in thousand)	

5. Long term finances

Long term loans	- note 5.1	21,634,582	22,883,554
Current portion shown under current liabilities		(4,313,895)	(5,448,246)
		17,320,687	17,435,308

5.1 The reconciliation of the carrying amount is as follows:

Opening balance		23,182,553	17,912,658
Disbursements during the period		742,000	12,602,529
Repayment during the period		(2,027,634)	(7,332,634)
		21,896,919	23,182,553
Unamortized liability	- note 5.1.1	(262,337)	(298,999)
Closing balance		21,634,582	22,883,554

5.1.1 The reconciliation of the carrying amount of unamortized liability is as follows:

Opening balance	(298,999)	(475,622)
Unwinding of discount on liability	36,662	176,623
Closing balance	(262,337)	(298,999)

6. Deferred income - Government grant

This represents deferred grant recognized in respect of the benefit of below-market interest rate on the facilities availed under State Bank of Pakistan's (SBP) Refinance Scheme for Payment of Wages and Salaries to the Workers and Employees of Business Concerns ('Refinance Scheme'). The benefit has been measured as the difference between the fair value of the loan and the proceeds received. The Group used the prevailing market rate of mark-up at the date of disbursement for similar instruments to calculate fair values of respective loans.

7. Contingencies and commitments

7.1 Contingencies

There is no significant change in contingencies from the preceding annual consolidated financial statements of the Group for the year ended June 30, 2024 other than those mentioned below. The banks have issued the following guarantees on Group's behalf in favor of:

- (i) Directorate General of Mines and Minerals, Punjab against enhanced royalty rates on minerals amounting to Rs. 305.252 million (June 2024: Rs 172.08 million).
- (ii) The Director Excise and Taxation, Karachi on account of infrastructure development cess amounting to Rs. 229 million (June 2024: Rs 197.42 million).
- (iii) Letter of guarantee of Rs 34 million (June 2024: Rs 30 million) in favour of Director, Excise and Taxation, Karachi under direction of Sindh High Court in respect of suit filed for levy of infrastructure cess;

7.1.1 The Group has provided a guarantee to Meezan Bank Limited (MBL) against the loan provided by MBL to Hyundai Nishat Motor (Private) Limited, a related party, amounting to Rs. 1,104.757 million (June 2024: Rs. 1,149.328 million).

7.2 Commitments in respect of

- (i) Contracts for capital expenditure Rs 74.757 million (June 30, 2024: Rs 107.609 million).
- (ii) Letters of credit for capital expenditure of NIL (June 30, 2024: Rs 48.046 million).
- (iii) Letters of credit other than capital expenditure Rs 969.879 million (June 30, 2024: 1,573.272 million).

September 30,	June 30,
2024	2024
Un-audited	audited
(Rupees in thousand)	

8. Property, plant and equipment

Operating Assets	-note 8.1	80,968,330	81,839,481
Capital work-in-progress	-note 8.2	2,287,276	1,689,590
Major spare parts and stand-by equipment		318,836	330,315
		83,574,442	83,859,386

September 30, 2024	June 30, 2024
Un-audited	audited
(Rupees in thousand)	

8.1 Operating assets

Opening book value	81,839,481	83,234,634
Add: Additions during the period/ year	145,223	2,666,227
Re-classification from assets held for sale	-	172,638
	81,984,704	86,073,499
Less: Disposals during the period/ year - net book value	20,985	158,843
Depreciation charged during the period/ year	995,389	4,075,175
	1,016,374	4,234,018
Closing book value	80,968,330	81,839,481

8.1.1 Major additions during the period

Free hold land	750	374,198
Building on freehold land	-	166,745
Office building	-	57,642
Roads	-	2,054
Plant and machinery	49,198	1,533,473
Quarry and other equipment	3,500	570
Furniture, fixtures and equipment	26,566	85,349
Motor vehicles	59,468	157,919
Air Craft	5,741	-
Power and water supply lines	-	288,277
	145,223	2,666,227

8.2 Capital work-in-progress

Civil works	1,410,538	1,013,263
Plant and machinery	641,423	540,006
Advances to suppliers and contractors	177,972	110,943
Others	57,343	25,378
	2,287,276	1,689,590

9. Transactions with related parties

The related parties include related parties on the basis of common directorship, group companies, key management personnel including directors and post employment benefit plans. Key management personnel are those persons having authority and responsibility for planning, directing and controlling the activities of the company, directly or indirectly, including any director (whether executive or otherwise) of that company. The Group in the normal course of business carries out transactions with various related parties. Significant transactions with related parties are as follows:

		July to September	
		2024	2023
		Un-audited	Un-audited
		(Rupees in thousand)	
Relationship with the Group	Nature of transaction		
Other related parties	Purchase of goods and services	134,416	147,536
	Insurance premium	166,085	135,139
	Sale of goods and services	194,063	113,015
	Mark-up income	-	660
	Insurance claims received	35,938	6,627
	Rental Income	505	295
	Reimbursement of expenses	25,037	-
	Rent Paid	-	191
	Dividend income	1,003,805	790,029
Key Management personnel	Salaries and other employment benefits	108,379	85,126
Post employment benefit plans	Expense charged in respect of staff retirement benefits plans	146,190	80,014

All transactions with related parties have been carried out on commercial terms and conditions.

July to September
2024 **2023**

(Rupees in thousand)

(Re-stated)

10. Cash flow from operating activities

Profit before tax	1,276,575	1,086,543
Adjustment for:		
- Depreciation on property, plant and equipment	995,389	1,009,549
- Amortization of intangible assets	6,149	1,792
- Loss/(Gain) on disposal of operating fixed assets	(5,255)	(5,100)
- Net loss on disposal of biological assets	46,722	1,985
- Gain on changes in fair value biological asset	(129,913)	(115,935)
- (Gain)/loss on changes in fair value of investment through P&L	(1)	(4)
- Dividend income	(1,006,163)	(792,388)
- Retirement and other benefits accrued	146,190	80,014
- Exchange (gain) / loss - net	2,480	70,681
- Markup Income	-	(1,615)
- Levy	150,924	118,858
- Finance cost	1,718,611	2,255,621
Profit/(loss) before working capital changes	3,201,708	3,710,001
Working capital changes		
- (Increase)/decrease in stores, spares and loose tools	(821,960)	2,445,929
- (Increase)/decrease in stock-in-trade	1,475,180	(839,462)
- (Increase) in trade debts	(405,428)	(173,134)
- (Increase)/decrease in contract assets	(58,971)	18,170
- (Increase)/decrease in advances, deposits, prepayments and other receivables	(836,889)	420,104
- Increase/(decrease) in trade and other payables	1,370,309	(427,749)
Net working capital changes	722,241	1,443,858
Cash (used in)/ generated from operations	3,923,949	5,153,859

11. Cash and cash equivalents

Short term borrowings - secured	(13,443,782)	(15,910,589)
Cash and bank balances	301,864	1,011,690
Total cash and cash equivalents	(13,141,918)	(14,898,899)

12. Financial risk management

12.1 Financial risk factors

The Group's activities expose it to a variety of financial risks: market risk (including currency risk, interest rate risk, and other price risk), credit risk and liquidity risk.

The consolidated condensed interim financial information does not include all financial risk management information and disclosures required in the annual financial statements, and should be read in conjunction with the group's annual financial statements as at June 30, 2024.

There have been no changes in the risk management department or in any risk management policies since the year ended June 30, 2024.

12.2 Fair value estimation

a) Fair value hierarchy

The different levels for fair value estimation used by the Group have been defined as follows:

- The fair value of financial instruments traded in active markets (such as publicly traded equity securities) is based on quoted (unadjusted) market prices at the end of the reporting period. The quoted market price used for financial assets held by the Group is the current bid price. These instruments are included in Level 1.
- The fair value of financial instruments that are not traded in an active market (for example over-the-counter derivatives) is determined using valuation techniques which maximize the use of observable market data and rely as little as possible on entity specific estimates. If all significant inputs required to determine fair value of an instrument are observable, the instrument is included in Level 2.
- If one or more of the significant inputs is not based on observable market data, the instrument is included in level 3. This is the case for unlisted equity instruments.

To provide an indication about the reliability of the inputs used in determining fair value, the Group classifies its financial instruments into the three levels prescribed above. The following table presents the Group's financial assets measured and recognised at fair value at June 30, 2024 on a recurring basis:

	Level 1	Level 2	Level 3	Total
	(Rupees in thousand)			
Recurring fair value measurements				
As at September 30, 2024				
Assets				
Investments - FVOCI	28,931,684	-	5,673,708	34,605,392
Investments - FVPL	55,027	-	-	55,027
Biological assets			1,203,161	1,203,161
As at June 30, 2024				
Assets				
Investments - FVOCI	27,924,771	-	5,673,708	33,598,479
Investments - FVPL	26	-	-	26
Biological assets			1,167,436	1,167,436

The Group's policy is to recognise transfers into and transfers out of fair value hierarchy levels as at the end of the reporting period.

There were no transfers between Level 1, 2 and 3 during the period. There were no changes in valuation techniques during the period.

The Group did not measure any financial assets or financial liabilities at fair value on a non-recurring basis as at September 30, 2024.

b) Valuation techniques used to determine fair values

Specific valuation techniques used to value financial instruments include:

- the use of quoted market prices or dealer quotes for similar instruments; and
- for other financial instruments - discounted cash flow analysis.

c) Fair value measurements using significant unobservable inputs

The main level 3 inputs used by the Company to determine fair value of investment in Nishat Hotels and Properties Limited ('NHPL') and Hyundai Nishat Motor (Private) Limited ('HNMPL') are derived and evaluated as follows.

- Discount rate is determined using a capital asset pricing model to calculate a post-tax rate that reflects current market assessments of the time value of money and the risk specific to NHPL and HNMPL.
- Long term growth rate is estimated based on historical performance of NHPL and HNMPL and current market information for similar type of entities.

The significant assumptions used in this valuation technique for NHPL are as follows:

- Discount rate of 17.96% per annum.
- Long term growth rate of 2% per annum for computation of terminal value.
- Annual growth in costs is linked to inflation with a range of 6.50% to 12.70% per annum.

The significant assumptions used in this valuation technique for HNMPL are as follows:

- Discount rate of 22.46% per annum.
- Long term growth rate of 2% per annum for computation of terminal value.
- Annual growth in costs are linked to inflation and currency devaluation with a range of 6.17% to 11.74%, and 2.17% to 3% per annum respectively, and revenues are linked to currency devaluation at 2.17% to 3% per annum.

Sensitivity analysis

Sensitivity analysis of the significant assumptions used in the valuation technique are as follows:

If the discount rate increases by 1% with all other variables held constant, the impact on fair value as at September 30, 2024 would be Rs 190.625 million and Rs 157.204 million lower for NHPL and HNMPL respectively.

If the long term growth rate decreases by 1% with all other variables held constant, the impact on fair value as at September 30, 2024 would be Rs 60.417 million and Rs 63.486 million lower for NHPL and HNMPL respectively.

If inflation decreases by 1% with all other variables held constant, the impact on fair value as at September 30, 2024 would be Rs 17.708 million and Rs 107.811 million higher for NHPL and HNMPL respectively.

If interest rate increases by 1% with all other variables held constant, the impact on fair value as at September 30, 2024 would be Rs 5.208 million and Rs 15.431 million lower for NHPL and HNMPL respectively.

13. Operating segments

Segment information is presented in respect of the group's business. The primary format, business segment, is based on the group's management reporting structure.

The group's operations comprise of the following main business segment types:

Type of segments	Nature of business
------------------	--------------------

Cement	Production and sale of clinker, Ordinary Portland and Sulphate Resistant Cements.
Paper	Manufacture and supply of paper products and packing material.
Dairy	Production and sale of raw milk.

13.1 Segment analysis and reconciliation - condensed

The information by operating segment is based on internal reporting to the Group executive committee, identified as the 'Chief Operating Decision Maker' as defined by IFRS 8. This information is prepared under the IFRS's applicable to the consolidated financial statements. All group financial data are assigned to the operating segments.

July 1st to September 30 - Un-audited

Rupees in thousands	Cement		Paper		Dairy/Farm		Elimination - net		Consolidated	
	2024	2023	2024	2023	2024	2023	2024	2023	2024	2023
Revenue from										
- External Customers	15,244,071	16,517,097	270,932	(153,870)	1,195,812	1,260,897	-	-	16,710,815	17,624,124
- Inter-group	56,849	-	388,405	964,096	-	-	(445,254)	(964,096)	-	-
	15,300,920	16,517,097	659,337	810,226	1,195,812	1,260,897	(445,254)	(964,096)	16,710,815	17,624,124
Segment gross profit/(loss)	2,994,348	3,213,145	91,184	128,335	76,018	111,163	(19,242)	(63,522)	3,142,308	3,389,121
Segment expenses	(1,124,498)	(869,378)	(7,217)	(11,254)	(82,518)	(29,854)	-	242	(1,214,233)	(910,244)
Changes in fair value of biological assets	-	-	-	-	129,913	115,935	-	-	129,913	115,935
Other income	1,037,849	826,509	41,493	32,273	26,535	7,670	(17,755)	(242)	1,088,122	866,210
Financial charges	(1,589,456)	(2,087,480)	(128,507)	(164,882)	(648)	(3,259)	-	-	(1,718,611)	(2,255,621)
Taxation and levy	(514,114)	(422,239)	(14,466)	9,021	(45,028)	(67,108)	-	-	(573,608)	(480,326)
Profit/(loss) after taxation	804,129	660,557	(17,513)	(6,507)	104,272	134,547	(36,997)	(63,522)	853,891	725,075
Depreciation	936,576	947,484	16,221	15,062	37,189	40,094	5,403	6,909	995,389	1,009,549
Capital expenditure	(299,957)	(402,573)	(396,983)	-	(36,731)	(2,239)	2,242	5	(731,429)	(404,807)
Net cash (outflow) / inflow from operating activities	2,328,884	4,421,610	(237,231)	101,573	125,997	(438,721)	(223,120)	(467,656)	1,994,530	3,616,806
Net cash outflow from investing activities	821,036	401,440	(383,988)	27,679	14,879	96,673	(133,491)	8,006	318,436	533,798
Rupees in thousands	30-09-2024	30-6-2024	30-09-2024	30-6-2024	30-09-2024	30-6-2024	30-09-2024	30-6-2024	30-09-2024	30-6-2024
	unaudited	audited	unaudited	audited	unaudited	audited	unaudited	audited	unaudited	audited
Segment assets	138,110,685	138,385,754	7,942,726	6,785,450	4,865,195	5,268,136	(2,743,484)	(2,607,405)	148,175,122	147,831,935
Segment liabilities	60,513,798	62,538,216	5,695,698	4,582,597	1,327,238	1,601,701	(664,987)	(437,654)	66,871,747	68,284,860

13.2 Geographical segments

All segments of the group are managed on nation-wide basis and operate manufacturing facilities and sales offices in Pakistan only.

14. Date of authorization

This interim financial information was authorized for issue by the Board of Directors of the Company on October 17, 2024.

15. Corresponding figures

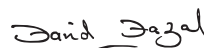
In order to comply with the requirements of the International Accounting Standard 34: 'Interim Financial Reporting', the condensed interim consolidated balance sheet and condensed interim consolidated statement of changes in equity have been compared with the balances of annual audited financial statements of preceding year, whereas, the condensed interim consolidated profit and loss account, condensed interim consolidated statement of comprehensive income and condensed interim consolidated cash flow statement have been compared with the balances of comparable period of immediately preceding year. Further, no significant rearrangements have been made except as disclosed in note 3.2 (a) to the consolidated financial statements.



Chief Executive



Chief Financial Officer



Director



D.G. KHAN CEMENT COMPANY LIMITED
Nishat House, 53-A, Lawrence Road, Lahore-Pakistan.
UAN: +92-42-111-11-33-33